PED & YED — calculation practice

1.3.2.4 / 1.3.2.5 The market · Unit 1 · Mr. Akram — Akademy

PED = %ΔQ ÷ %ΔP | YED = %ΔQ ÷ %Δincome. Always show your working. (4 marks each)

Questions

1. **PED — Superdry:** price falls 10%; t-shirt sales rise from 120,000 to 150,000. Calculate PED.
2. **PED — Samsung TV:** price falls from $800 to $780; sales rise from 9,000 to 9,450. Calculate PED.
3. **YED — Meqnes:** European incomes rise 4%; travel-bag sales rise from 1,000 to 1,120 a week. Calculate YED.
4. **YED — Sony:** Japanese incomes rise 3.5%; console sales rise from 3.0m to 3.21m. Calculate YED.

Worked answers

- **Superdry:** %ΔQ = (150,000–120,000)/120,000 = +25%; %ΔP = –10%. PED = 25 ÷ –10 = –**2.5** (price elastic).
- **Samsung:** %ΔP = (780–800)/800 = –2.5%; %ΔQ = (9,450–9,000)/9,000 = +5%. PED = 5 ÷ –2.5 = –**2** (elastic).
- **Meqnes:** %ΔQ = +12%; income +4%. YED = 12 ÷ 4 = **+3** (normal, income-elastic / luxury).
- **Sony:** %ΔQ = +7%; income +3.5%. YED = 7 ÷ 3.5 = **+2** (normal, income-elastic).

Try the interactive PED calculator on the site to check your PED answers and see the effect on revenue.